

accounting, were put to work researching companies and writing reports, the same as the regular analysts. The whole intimidating business was suddenly demystified—even liberal arts majors could analyze a stock. I was assigned to the paper and publishing industry and set out across the country to visit companies such as Sorg Paper and International Textbook. Since the airlines were on strike, I traveled by bus. By the end of the summer the company I knew most about was Greyhound.

After that interlude at Fidelity, I returned to Wharton for my second year of graduate school more skeptical than ever about the value of academic stock-market theory. It seemed to me that most of what I learned at Wharton, which was supposed to help you succeed in the investment business, could only help you fail. I studied statistics, advanced calculus, and quantitative analysis. Quantitative analysis taught me that the things I saw happening at Fidelity couldn't really be happening.

I also found it difficult to integrate the efficient-market hypothesis (that everything in the stock market is “known” and prices are always “rational”) with the random-walk hypothesis (that the ups and downs of the market are irrational and entirely unpredictable). Already I'd seen enough odd fluctuations to doubt the rational part, and the success of the great Fidelity fund managers was hardly unpredictable.

It also was obvious that Wharton professors who believed in quantum analysis and random walk weren't doing nearly as well as my new colleagues at Fidelity, so between theory and practice, I cast my lot with the practitioners. It's very hard to support the popular academic theory that the market is irrational when you know somebody who just made a twentyfold profit in Kentucky Fried Chicken, and furthermore, who explained in advance why the stock was going to rise. My distrust of theorizers and prognosticators continues to the present day.

Some Wharton courses were rewarding, but even if they'd all been worthless, the experience would have been worth it, because I met Carolyn on the campus. (We got married while I was in the Army, on May 11, 1968, a Saturday when the market was closed, and we had a week-long honeymoon during which the Dow Jones lost 13.93 points—not that I was paying attention. This is something I looked up later.)

After finishing that second year at Wharton, I reported to the Army to serve my two-year hitch required under the ROTC program. From 1967 to 1969, I was a lieutenant in the artillery, sent first to Texas and later to Korea—a comforting assignment considering the alternative. Lieutenants in the artillery mostly wound up in Vietnam. The only drawback to Korea was that it was far away from the stock exchange, and as far as I knew, there was no stock market in Seoul. By this time I was suffering from Wall Street withdrawal.